Canada Bread Company, Limited

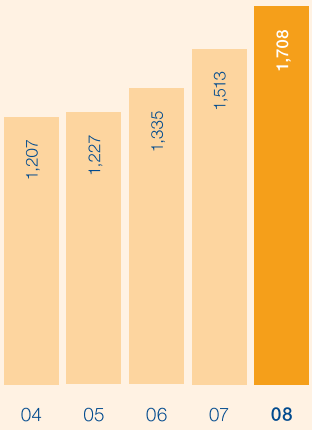
2008 ANNUAL REPORT

Financial Highlights

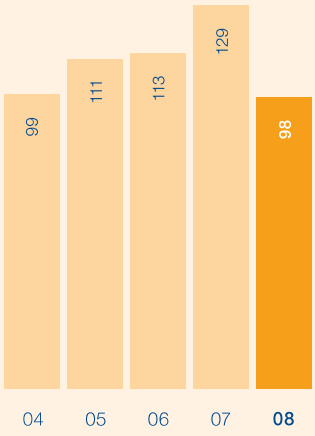
For years ended December 31 (In millions of Canadian dollars except per share information)	**2008**	2007	2006	2005	2004
CONSOLIDATED RESULTS					
Sales	**1,708**	1,513	1,335	1,227	1,207
Earnings from operations before restructuring and other related costs	**98**	129	113	111	99
Net earnings	**65**	84	54	75	67
PER SHARE					
Basic EPS	**2.55**	3.30	2.11	2.95	2.62
Adjusted EPS[i]	**2.87**	3.31	3.09	3.07	2.62
Diluted EPS	**2.55**	3.30	2.11	2.93	2.57
Dividends	**0.24**	0.24	0.24	0.24	0.24
Book value[ii]	**27.87**	24.99	23.15	21.05	18.75
NUMBER OF SHARES (MILLIONS)					
Weighted average	**25.4**	25.4	25.4	25.4	25.4
Outstanding at December 31	**25.4**	25.4	25.4	25.4	25.4

(i) Refer to non-GAAP measures on page 2 (Management's Discussion & Analysis) for definition
(ii) Excludes equity component of long-term debt

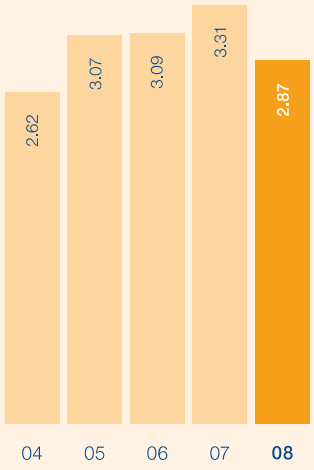
Sales
(millions of dollars)



Earnings from Operations
Before restructuring and other related costs (millions of dollars)



Earnings per Share
Before restructuring and other related costs and non-recurring tax adjustment (dollars)



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To Our Shareholders

While we have a strong, branded business, like any other business, we have some exposure to underlying cost changes. In our case, the unprecedented, vertical spike in commodity prices in the first half of 2008 – most notably wheat and oil prices – had a short-term but significant impact on our profit margins. Through a combination of some decline in global commodity values and some price increases our margins have now largely normalized and it appears we are back to a more stable, yet higher overall commodity environment.

Putting commodities aside, our bakery businesses are built on a strong base of excellent customer relationships, leading brands and market shares in our core businesses. Last year we completed some important network changes that increased volumes in our plants and reduced distribution costs. There is still further opportunity to create a more efficient supply chain that we will pursue. We've had some challenges in the U.K. business with a major oven fire at our bagel plant and the corresponding impact on production. However, we have built a strong niche in the U.K. specialty bakery market, with lots of opportunity for continued growth.

As we enter 2009 and the severe global economic concerns, our business of providing people with an important staple in life – bread and bread products – is a good business to be in. We are squarely focused on growing our volumes through two primary means – deepening our customer relationships and accelerating innovation for consumers.

We are implementing a new and exciting sales model across our businesses, grounded in understanding our customers' business strategies and goals, and aligning what we do to support these goals. This is how we will define our sales strategies and measure our success. With our geographic and product breadth we have capacity to tailor our business with our customers and deepen our relationships based on the results we deliver. For some customers this may be a more transactional relationship, but for most what we aspire to is a close relationship where we fully understand and advance each others' business strategies.

On the innovation front, last year we further expanded our market position in the premium nutrition bread business, one of the fastest growing segments of the bakery market. We launched new fresh pasta and sauce products, growing this small but very important business. With the opening of the Maple Leaf Foods ThinkFOOD! innovation centre this spring, I am really excited about the ability to drive innovation to new levels through providing our people and our customers with a world-class resource to develop and test new products.

Thank you for your support and investment in us – our team is passionately focused and enthusiastic about what can be accomplished this year!



Richard A. Lan
President and
Chief Executive Officer



Michael H. McCain
Chairman

Management's Discussion and Analysis

THE BUSINESS

Canada Bread Company, Limited ("Canada Bread" or "the Company"), 89.8% owned by Maple Leaf Foods Inc. ("Maple Leaf"), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company employs approximately 8,500 people at its operations across North America and in the United Kingdom ("U.K.").

OVERVIEW

In 2008, Adjusted Operating Earnings(i) decreased by 24.6% to $97.6 million (2007: $129.5 million) and adjusted earnings per share ("Adjusted EPS")(i) decreased by 13.1% to $2.87 per share (2007: $3.31 per share). All figures are reported in Canadian dollars except as otherwise specified.

SELECTED FINANCIAL INFORMATION

The following is a summary of audited financial information for the three years ended December 31:

(in thousands of dollars except per share information)	2008	2007	2006
Sales	**$ 1,708,330**	$ 1,513,179	$ 1,334,932
Adjusted operating earnings(i)	**$ 97,632**	$ 129,454	$ 113,410
Net earnings	**$ 64,936**	$ 83,751	$ 53,550
Basic and diluted EPS	**$ 2.55**	$ 3.30	$ 2.11
Adjusted EPS(i)	**$ 2.87**	$ 3.31	$ 3.09
Total assets	**$ 994,910**	$ 998,182	$ 924,268
Net debt(i)	**$ 1,691**	$ 34,061	$ 40,661
Return on net assets (RONA)(i)	**9.3%**	11.6%	12.0%
Cash flow from operations	**$ 137,435**	$ 122,115	$ 106,342
Cash dividends per share	**$ 0.24**	$ 0.24	$ 0.24

(i) Refer to Non-GAAP measures below.

NON-GAAP MEASURES

The Company reports its financial results in accordance with Canadian GAAP. However, the Company has included certain non-GAAP financial measures and ratios in this analysis which management believes provide useful information in measuring the financial performance and financial condition of the Company. These measures do not have a standardized meaning prescribed by Canadian GAAP and, therefore, may not be comparable to similarly titled measures presented by other publicly traded companies, nor should they be construed as an alternative to other financial measures determined in accordance with Canadian GAAP.

A) ADJUSTED OPERATING EARNINGS

"Adjusted Operating Earnings" is defined as earnings from operations before restructuring and other related costs. Management believes that this is the most appropriate basis on which to evaluate operating results, as restructuring and other related costs are not representative of continuing operations.

B) ADJUSTED EPS

"Adjusted EPS" is defined as earnings per share before restructuring and other related costs, net of taxes, and certain non-recurring taxation adjustments. Management believes that this is the most appropriate basis on which to evaluate financial results, as the taxation adjustments and restructuring and other related costs are not representative of continuing operations.

EPS RECONCILIATION

(Per share)	2008	2007	2006
Reported EPS	**$2.55**	$ 3.30	$2.11
Restructuring and other related costs, net of tax	**$0.32**	$ 0.12	$0.15
Tax benefit from lower future tax rates[i]	**–**	($ 0.11)	–
U.S. tax adjustment[ii]	**–**	–	$0.83
Adjusted EPS	**$2.87**	$3.31	$3.09

(i) During 2007, the Company recorded an unusually large net tax benefit of $2.8 million related to the enactment of lower future tax rates
(ii) In 2006, the Company recorded a non-recurring tax expense of $21.2 million to write down future tax assets that originated in 2006 and earlier years related to its U.S. frozen bakery business.

C) RETURN ON NET ASSETS ("RONA")

RONA is calculated by dividing tax-effected earnings from operations before restructuring and other related costs and before interest by average monthly net assets. Net assets are defined as total assets less cash, future tax assets and non-interest bearing liabilities. Management believes that RONA is an appropriate basis on which to evaluate long-term financial performance, and the Company has established an objective for RONA of 11.5%.

D) EARNINGS BEFORE INTEREST, TAX, DEPRECIATION AND AMORTIZATION ("EBITDA")

EBITDA is calculated as earnings from operations before restructuring and other related costs and before interest and income taxes plus depreciation and intangible amortization. The Company measures its credit profile using a number of metrics, primarily net debt to EBITDA and EBITDA to interest expense.

E) NET DEBT

Net debt is calculated as long-term debt and bank indebtedness, less cash and net of currency swaps.

ECONOMIC DOWNTURN

The current economic downturn has the potential to impact the Company's financial results positively or negatively depending on consumer behaviour, or the effects on commodity prices. For example, there is a risk that consumers may trade down in their purchases from higher margin specialty products to lower margin staple products and the Company may experience an overall volume decline. On the other hand, there has been a recent tendency among consumers to eat less frequently away from home. This trend could benefit the Company. Although the Company has experienced some decline in the sales of specialty items in its U.K. bakery that can be partly attributed to the difficult economic environment, Management is not able to predict whether the economic downturn will have a material effect on the Company's results of operations.

RISING INPUT PRICES

Management is of the view that "Food for Fuel" initiatives sponsored by the U.S. Government have resulted in increased demand for grains, in particular corn, that are used for ethanol production, and decreased land set aside for other crops such as wheat. Combined with strong demand from export markets and shortfalls in world crops, this has resulted in sharp increases in wheat prices in 2007 and early 2008.

Additionally, the price of crude oil increased significantly in 2008 with significant impact on the Company's operations, including freight, manufacturing and other indirect impacts such as packaging costs.

The scale and speed of these increases in 2007 and 2008 together with increases in other commodities led to significant margin compression in the first half of 2008 as wheat and oil are material inputs to the Company's operations. Management increased prices significantly and executed cost reduction initiatives to offset these dramatic cost increases, but was not able to execute quickly enough to recover all cost increases during 2008. In the second half of 2008, the cost of wheat and oil began to decline, but the weakening Canadian dollar offset much of the decrease, resulting in a slower decline in the price paid by the Company for wheat and oil in Canadian dollars.

Following is a summary of changes in wheat and fuel prices that have impacted the Company's business and financial results:

Management's Discussion and Analysis

WHEAT (USD PER BUSHEL)[i]

	As at December 31	Annual Average[ii]	Q1 Average	Q2 Average	Q3 Average	Q4 Average
2008	$ 6.55	$ 10.37	$ 15.04	$ 11.59	$ 8.90	$ 6.32
2007	$ 10.36	$ 6.41	$ 5.05	$ 5.37	$ 7.05	$ 9.11
Change	(36.8%)	61.8%	197.8%	115.9%	26.2%	(30.6%)
2006	$ 5.19	$ 4.67	$ 4.11	$ 4.60	$ 4.78	$ 5.17

(i) % change in average price calculated using daily close prices (Source: Bloomberg, CBOT).
(ii) Does not equal average of quarters due to rounding.

WHEAT (CAD PER BUSHEL)[i]

	As at December 31	Annual Average[ii]	Q1 Average	Q2 Average	Q3 Average	Q4 Average
2008	$ 7.27	$ 10.61	$ 15.02	$ 11.67	$ 9.16	$ 7.52
2007	$ 10.24	$ 6.84	$ 5.92	$ 5.89	$ 7.32	$ 8.95
Change	(29.0%)	55.0%	153.9%	98.2%	25.1%	(16.0%)
2006	$ 6.04	$ 5.29	$ 4.75	$ 5.15	$ 5.36	$ 5.88

(i) % change in average price calculated using daily close prices (Source: Bloomberg, CBOT).
(ii) Does not equal average of quarters due to rounding.

FUEL (USD PER BARREL)[i]

	As at December 31	Annual Average[ii]	Q1 Average	Q2 Average	Q3 Average	Q4 Average
2008	$ 44.60	$ 99.67	$ 97.86	$ 123.78	$ 118.93	$ 61.50
2007	$ 95.95	$ 70.88	$ 58.11	$ 64.94	$ 75.27	$ 90.30
Change	(53.5%)	40.6%	68.4%	90.6%	58.0%	(31.9%)
2006	$ 60.85	$ 66.06	$ 63.46	$ 70.48	$ 70.40	$ 59.85

(i) % change in average price calculated using daily close prices (Source: Cushing, OK WTI Spot Price FOB).
(ii) Does not equal average of quarters due to rounding.

RESULTS OF OPERATIONS

Following are sales by business segment for the three years ended December 31:

($ millions)	2008	2007	Change	2006
Fresh Bakery	**$ 1,094.2**	$ 945.9	15.7%	$ 898.8
Frozen Bakery	**$ 614.1**	$ 567.3	8.3%	$ 436.1
	$ 1,708.3	$ 1,513.2	12.9%	$ 1,334.9

Sales for the year increased 12.9% to $1.7 billion. Excluding acquisitions, sales increased by 8.9% for the year, mostly as a result of price increases implemented across all bakery businesses in response to escalating input costs. Mix improvements in the North American frozen operations also contributed to increased sales.

Following are Adjusted Operating Earnings by business segment for the three years ended December 31:

($ millions)	2008	2007	Change	2006
Fresh Bakery	**$ 76.5**	$ 88.4	(13.4%)	$ 93.9
Frozen Bakery	**$ 21.1**	$ 41.1	(48.6%)	$ 19.5
	$ 97.6	$ 129.5	(24.6%)	$ 113.4

Adjusted Operating Earnings for the year decreased by 24.6% to $97.6 million due to margin compression across all Bakery businesses as price increases did not match the pace of sharp increases in the price of wheat and energy. However, by the fourth quarter of 2008, margins had increased closer to long-term historical levels through price increases implemented in the second quarter and the impact of declining commodity costs and internal cost reductions. Margins were not fully restored in the year as the benefit from decreasing input costs was partially offset by the weaker Canadian dollar that affects the Canadian price of flour. The Frozen Bakery segment was also impacted by higher operating costs in the U.K. operations due to an oven fire in its principal bagel manufacturing line. In 2008, the Company received insurance proceeds of $14.7 million (recorded in Other Income) to cover business interruption losses resulting from the oven fire. These proceeds should be considered in combination with the operating results as they partly offset the operating impacts of the fire during 2008.

BUSINESS SEGMENT REVIEW

FRESH BAKERY

Fresh Bakery sales in 2008 increased 15.7% to $1.1 billion compared to $945.9 million last year due to increased prices and the contribution of acquisitions. Excluding acquisitions, sales increased by 10.9% to $1.0 billion compared to last year.

Adjusted Operating Earnings for the year declined 13.4% to $76.5 million compared to $88.4 million last year. Earnings were affected by high wheat and oil prices, which peaked in the first half of 2008 and began to decline thereafter. Price increases implemented in the fourth quarter of 2007 and early 2008 were not sufficient to offset these rapid increases in input costs in the first half of 2008. By the fourth quarter of 2008, margins had increased closer to long-term historical levels through price increases and the impact of declining input costs and internal cost reductions. Margins were not fully restored in the year as the benefit from decreasing input costs was partially offset by the weaker Canadian dollar in the fourth quarter that affected the Canadian price of flour.

Excluding acquisitions, investments in marketing increased by 17.6% in the year to support new product development and innovation in the fast growing ethnic and health conscious markets. In 2008, the Company launched *Smart 100% Whole Grain Wheat* bread nationally and *Smart Snack Cakes* in Eastern Canada as well as *Dempster's Indian Naan* in Ontario. Olivieri launched new Gourmet flavour filled pasta in the U.S. and Canada while expanding its offering in sauces for pasta and pizza.

In the first quarter of 2008, the Company completed the purchase of Aliments Martel Inc., a leading manufacturer and distributor of sandwiches, meals and sweet goods based in Quebec.

FROZEN BAKERY

Frozen Bakery sales increased 8.3% to $614.1 million in 2008 compared to $567.3 million last year. Excluding acquisitions, sales increased 5.7% to $599.5 million compared to 2007. Increased prices and improvements in product mix were partly offset by translation differences related to the weaker U.S. dollar in 2008, and the softening of specialty bakery product sales in the U.K. towards the end of the year driven by a weaker economy.

Adjusted Operating Earnings for the year declined by 48.6% to $21.1 million from $41.1 million last year. Lower earnings in the North American frozen bakery operations were driven by wheat, fuel and other inflationary cost increases. Price increases and benefits from strategic initiatives such as a freezer expansion at the Roanoke bakery were not sufficient to offset such inflationary costs in the year. During the year, the North American Frozen Bakery business undertook several initiatives to increase profitability and margins, including successful waste management programs and the closure of a bagel facility in Toronto. The Toronto bagel plant production was transferred to other regional plants in order to move production closer to customers and a new bagel line was commissioned at the Roanoke bakery in Virginia. Start up costs, and inefficiencies resulting from production transfers combined with higher utilities and maintenance costs further impacted the North American Frozen Bakery Adjusted Operating Earnings. Production on the new line at Roanoke started mid-January 2009; Management expects that combined with the reduction in transportation and distribution costs as production has been moved closer to customers, these initiatives will improve margins going forward. During the year, a new all natural line of frozen breads was launched.

Earnings in the U.K. bakery operations were impacted by incremental operating costs due to a fire in an oven on its principal bagel line at the Rotherham plant. This caused a significant amount of increased costs and disruption in the Rotherham operations, in addition to lower volumes as the Company was unable to promote bagels due to reduced capaci